

Common stock

Shareholders:

- ✓ Share in the company dividends
- ✓ Share in the company's assets
- ✓ Have right to attend AGM
- ✓ Have right to vote on important company matters such as appointment of directors
- ✓ Receive the company's annual report and financial statements

Preferred stock

Shareholders:

- ✓ Receive fixed dividend, paid ahead of any dividends paid out to ordinary shareholders
- ✓ Take priority in receiving a share of any assets left after debts are paid if company is insolvent
- ✗ Have fewer, if any, voting rights

Deferred stock

- ✓ Shareholders receive company dividends and share of assets, but only after all other shareholders



NEED TO KNOW

- **Flipping** Buying and quickly reselling IPOs for a large profit
- **Redeemable shares** Shares that may be later bought back by the issuing company for a cash sum

698%
the increase in share price of IPO VA Linux Systems in one day on the New York Stock Exchange, in 1999

RAISING MORE SHARE CAPITAL

After the initial sale of shares, when a company goes from private to public, the business can raise additional funds by issuing more shares. There are three main ways to do this:

- **Rights issue** entitles existing shareholders to buy additional shares from the company within a set time frame, before they are offered to other buyers.
- **Public issue** is a process by which the company issues a new allotment of shares to sell to the public on the stock market.
- **Private placement** is a practice by which the company sells its shares (or other securities) directly to private investors, usually large institutions, bypassing the stock exchange all together.